

Session 2.1: Big Data & Digital Asset Economics

Data feedback loops, algorithmic curation, LTV/CAC ratios, and Netflix content economics.

PART 1 (LECTURE)
60 Minutes

PART 2 (LAB PRACTICE)
60 Minutes

PART 3 (EXECUTIVE MEMO)
60 Minutes

STANDARD
Audited SEC Filings

Learning Objectives & Executive Overview

Clear conceptual grounding for undergraduate and graduate business students.

CORE COMPETENCIES

Goals

What You Will Master Today

- **Theoretical Mastery:** Evaluate seminal literature and analytical frameworks governing platform competition.
- **Empirical Rigor:** Reconcile management strategic claims with legally audited statutory filings.
- **Data Modeling:** Execute spreadsheet calculations with explicit coordinates and formula logic.
- **Executive Formulation:** Deliver structured board-level recommendations resolving complex trade-offs.

DATA FEEDBACK LOOPS

Vocabulary

Key Topical Foundations

- **Hagiu & Wright (2020)::** Defensible data moats vs. marginal quality gains.
- **Information Asymmetry::** Akerlof & Stiglitz on ratings eliminating lemons.
- **Unit Economics::** Customer Acquisition Cost (CAC) & Lifetime Value (LTV).
- **Micro-Examples::** Netflix streaming, Amazon search ads, Ant Group loans.

Theoretical Foundations: Data Feedback Loops

Rigorous analytical frameworks and literature benchmarks.

THEORETICAL ARCHITECTURE

Literature

Seminal Framework Insights

- *Hagiu & Wright (2020)::* Defensible data moats vs. marginal quality gains.
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STRATEGIC APPLICATION

Analysis

Business Model Mechanics

- *Licensing to Originals::* Transition from studio catalogs to IP ownership.
- *Algorithmic Budgeting::* Allocating \$13B+ cash based on viewing metrics.
- *Churn Suppression::* Tracking pause, rewind, and completion telemetry.
- *Operational Payoff::* Operating income expansion from \$2.6B to \$6.9B.

STRATEGIC TAKEAWAY

Data feedback loops, algorithmic curation, LTV/CAC ratios, and Netflix content economics.

Enterprise Case Dissection: Netflix Content Model

Historical case evidence and multi-year corporate trajectory analysis.

CORPORATE DYNAMICS

Timeline

Market Conditions & Strategic Moves

- *Licensing to Originals::* Transition from studio catalogs to IP ownership.
- *Algorithmic Budgeting::* Allocating \$13B+ cash based on viewing metrics.
- *Churn Suppression::* Tracking pause, rewind, and completion telemetry.
- *Operational Payoff::* Operating income expansion from \$2.6B to \$6.9B.

ANALYTICAL FOCUS

Evidence

Operational & Financial Findings

- *Netflix 10-K Data::* Cash content additions vs. amortization (2019-23).
- *Content Intensity::* $\text{Content Cash} / \text{Total Revenue} (=C2/B2*100)$.
- *ARPU Metric::* $\text{Annual Revenue} / \text{Ending Memberships} (=B2/E2)$.
- *Inflection Point::* Cash content intensity dropped from 69% to 39%.

Lab Dataset & Empirical Metrics: Applied Excel Lab

Reconciling corporate filings with explicit spreadsheet formulas.

SPREADSHEET MODELING

Lab Spec

Data Metrics & Formulas

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MANAGEMENT DILEMMA

Decision Lab

Strategic Tension

- *Spending Treadmill::* Capital scale vs. algorithmic recommendation quality.
- *Spotify Contrast::* Why proprietary video yields higher margin than music.
- *Budget Allocation::* Global hit franchises vs. local regional content.
- *Strategic Memo::* Content ROI optimization framework for executive board.

Executive Problem Solving: Executive Lab

Framing complex management dilemmas and evaluating corporate trade-offs.

EXECUTIVE CHALLENGE

Dilemma

Corporate Strategic Tension

- *Spending Treadmill::* Capital scale vs. algorithmic recommendation quality.
- *Spotify Contrast::* Why proprietary video yields higher margin than music.
- *Budget Allocation::* Global hit franchises vs. local regional content.
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EVALUATION RUBRIC

Requirements

Board-Level Deliverable

- *Actionable Recommendation:* Formulate a concrete 3-bullet decision brief for senior leadership.
- *Quantitative Defense:* Support recommendations using audited financial metrics from the lab spreadsheet.
- *Risk Mitigation:* Address channel friction, partner resistance, or competitive retaliation.
- *Implementation Timeline:* Define immediate 90-day execution milestones.

Lab Transition: 120-Minute Hands-On Execution

Transitioning from lecture observation to hands-on data manipulation and strategic decision-making.

EXERCISE 1: FOUNDATIONAL PRACTICE

60 Min Lab

Applied Excel Lab

Hands-on spreadsheet protocol using audited historical numbers:

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EXERCISE 2+: ADVANCED PROBLEM SOLVING

60 Min Memo

Executive Lab

Applied scenario analysis, trade-off evaluation, and executive brief:

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- *Strategic Memo::* Content ROI optimization framework for executive board.